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CASE #	CASE NAME	HEARING NAME
CVME2400553	PARTNERSHIP FOR ACTIVE LEARNING SERVICES, INC. VS TENAJA COMMUNITY SERVICES DISTRICT	DEMURRER ON 3 RD AMENDED COMPLAINT

Tentative Ruling: As to Defendant, TCSD, the demurrer is Sustained as to the entire TAC alleged against TCSD, without leave to amend, based on Plaintiff's failure to file a government tort claim and allege compliance with the Government Claims Act. *Also Sustained* as to the 5th and 7th causes of action because public entity liability requires statutory authority, as to the 5th and 6th causes of action based on public entity immunities, and as to the 1st, 2nd, 3rd, 4th, and 8th causes of action for failure to allege sufficient facts to constitute a cause of action as to TCSD. As to Defendant, Avalon, the demurrer is Sustained as to the 5th, 6th, and 7th causes of action, *with 30* days leave to amend. The demurrer is Sustained as to the 1st, 2nd, 3rd, 4th, and 8th causes of action, without leave to amend. Continue the CMC to March 18, 2027.

Public Entity Liability: Govt. Code § 811.2 defines a public entity to include a *district*. And, Govt. Code § 940.4 defines "local public entity" to include a *district*. As a result, Plaintiff cannot allege causes of action against TCSD. Notably, the TAC now contains an allegation that: "The actions of TCSD, which were not authorized, and do not fall under the ambit of a "public entity" or public service organization, but rather a private entity." (TAC ¶ 10.) Importantly, this allegation does not excuse Plaintiff from the presentation of tort claims requirement as to TCSD.

The TAC continues to allege that the definition of a "district" or "special district" *expressly excludes* a community services district citing Government Code § 56036(a)(10)(E). However, this is no longer correct. The current version of the statute provides: "(b) "District" or "special district" includes a county service area, but excludes all of the following: ... (10) A *zone* of any special district." (Govt. Code § 56036(b).) (emphasis added.) Use of the term "zone" in connection with "special district" indicates a portion of the special district as opposed to a zone itself being a special district.

The TAC also alleges that the alleged applicable statutes do not set forth any indication that CSDs are "public entities" but, no authority is cited for this proposition. The TAC then goes on to allege that if TCSD is a public entity, it "*must follow mandatory statutes and duties applicable to the present action*" and goes on to state statutory authority applicable to public entities. (TAC ¶ 29.) Yet, this allegation ignores the entire set of presentation of tort claims procedure. Plaintiff has not plead around the Government Tort Claims Act. Thus, the demurrer is sustained on this ground as against TCSD, without leave to amend.

Notably, as to Avalon, Plaintiff argues it is not a "district" so, it is not a public entity. The TAC now alleges that Avalon served as TCSD's representative and management agent for TCSD with Traci Russell as the primary Avalon representative. (TAC ¶ 9.) In addition, the TAC now makes specific allegations as to acts by Avalon through Traci Russell. (see e.g., TAC ¶¶ 42-45, 48, 56.) Thus, the TAC now contains specific allegations attributing specific conduct to Avalon.

Immunity for TCSD Employees: Defendants assert that TCSD and its employees are immune from liability for negligent misrepresentation. Govt. Code § 818.8 provides that a public entity "is not liable for an injury caused by misrepresentation by an employee of the public entity,

whether or not such misrepresentation be negligent or intentional.” Govt. Code § 822 provides that a public employee “acting in the scope of his employment is not liable for an injury caused by his misrepresentation, whether or not such misrepresentation be negligent or intentional, unless he is guilty of actual fraud, corruption or actual malice.” Here again, Plaintiff argues that the immunities do not exist for CSDs like TCSD, which should not be considered a “public entity” as Defendants provided no case or statutory authority in support. Immunity, therefore, is an additional ground to sustain the demurrer as against TCSD.

Plaintiff also argues that TCSD has not acted as a CSD toward Plaintiff but, as an unauthorized organization liable for illegal and actionable conduct. It is accurate that the TAC alleges TCSD engaged in *ultra vires* conduct (but, without fraud, corruption or actual malice.) However, Plaintiff has not established that engaging in such conduct somehow exempts it from being a public entity.

Plaintiff further argues that Defendants received notice of Plaintiff’s claim through their complaints about Board member problems affecting Plaintiff on 4/1/24, 4/16/24, 4/17/24, 6/2/24, and 6/5/24 (TAC ¶¶ 49-78). Plaintiff asserts that a meeting was required to be held at Plaintiff’s property with County officials. Plaintiff then argues that equitable estoppel is properly alleged and applies in the government claims context. (TAC ¶ 36.) However, while the authority Plaintiff cited sets forth the elements of equitable estoppel, it does not excuse the timely filing of a government tort claim. While equitable estoppel has been applied in the government claims context, it “generally requires an *affirmative* representation or act by the public entity”, which induces reliance by the claimant. (*J.M. v. Huntington Beach Union High School Dist.* (2017) 2 Cal.5th 648, 657.) The TAC alleges no such reliance in this case (nor any of the other elements.) Moreover, Plaintiff does not dispute that it did not submit a government tort claim to TCSD.

5th Cause of Action for Negligent Misrepresentation and 6th Cause of Action for Intentional Misrepresentation: The TAC fails to include all of the requisite elements for both of these causes of action. The TAC alleges “Defendants” represented to Plaintiff they would act fairly and in good faith in carrying out their responsibilities under California law, TCSD ordinances, and CC&Rs. (TAC ¶¶ 120, 132.) It is alleged that TCSD had a duty to protect the integrity and values of the districts and the assets and welfare of the district members as well as a duty to candidly reports any actions in violation of the applicable laws, etc., and that there would be no retaliation for such reporting. (*Id.* ¶¶ 121-122, 133-134.) The TAC also alleges that “Defendants” believed Plaintiff would rely on the representations and did rely on them and “Defendants” made the representations intending to induce Plaintiff’s reliance. (*Id.* ¶¶ 127, 139.) These representations are vague and conclusory; they are not alleged with particularity. Moreover, as to TCSD, these causes of action are not viable against a public entity, due to immunities discussed above.

As against Avalon, the representations in the text of each cause of action are made as to “Defendants”, without attributing any conduct specifically to Avalon. There are allegations attributing specific conduct to Avalon in the TAC, which are incorporated into these causes of action. (TAC ¶¶ 118, 130.) However, these allegations are not clearly connected to each of these two causes of action, which demonstrates that the particularity requirement has not yet been met. Thus, the demurrer is sustained on this ground as against Avalon, with 30 days leave to amend—the final opportunity to amend unless good cause is shown.

7th Cause of Action for Negligence: As to TCSD, this cause of action is not viable against a public entity, as discussed above. As to Avalon, the allegations are made as to “Defendants”, without attributing any conduct specifically to Avalon. There are allegations attributing specific conduct to Avalon in the TAC, which are incorporated into these causes of action. (TAC ¶¶ 142.) However, these allegations are not clearly connected to the negligence cause of action. For instance, no facts concerning any duty owed by Avalon (as opposed to TCSD) to Plaintiff is alleged.

8th Cause of Action for Breach of Contractual Good Faith: The TAC does not allege any contract whatsoever. Instead, the TAC refers to Plaintiff’s membership in TCSD, which entitles it to benefits “including support, cooperation in developments.” (TAC ¶ 153.) The TAC alleges that Defendants “had a duty to act fairly and in good faith to Plaintiff in carrying out its responsibilities under California Law, TCSD policies, procedures and Ordinances.” (*Id.* ¶ 154.) It alleges that Defendants failed to perform their obligations under “laws”. (*Id.* ¶ 156.) But, no breach of any contract is alleged let alone any wrongful conduct beyond any breach itself.

Although not specific to the 8th cause of action, Plaintiff asserts that Exhibit “A” constitutes the contract for the purchase of the subject twenty acres, and then merely concludes that the TAC sets forth sufficient facts that describe non-compliance and breach of mandatory duties. However, this exhibit does not constitute a contract between TCSD (or Avalon) and Plaintiff. Moreover, Plaintiff has not identified the material contract(s) terms or the breach(es). And, none of the factual allegations set forth a contract.

1st Cause of Action for Breach of CSD Laws & Duties; 2nd Cause of Action for Breach of CSD Laws & Duties; and 4th Cause of Action for Breach of Open Participation: Defendants argue that these “causes of action” are not cognizable as titled. They acknowledge that Plaintiff may be trying to allege the breach of a mandatory duty (1st and 2nd c/ac) under Govt. Code § 815.6 conferred by Govt. Code §§ 61101 and 61104, but the TAC fails to allege a *mandatory* as opposed to a *discretionary* duty. The cited statutes impose only discretionary duties. In the breach of open participation claim, it is also unclear what is alleged. The TAC cites Govt. Code § 54950, *et. seq.* and § 6250, *et. seq.* and alleges Defendants breached their obligations to act fairly and in good faith to Plaintiff by failing to investigate complaints, denying Plaintiff approval of his application without proper cause, and treating Plaintiff differently from other TCSD members. (TAC ¶ 111.) But, no duty or obligation to Plaintiff is alleged under the statutes nor are there any facts about a breach.

As to Avalon, the allegations are made as to “Defendants”, without attributing any conduct specifically to Avalon. More importantly, these causes of action apply to TCSD, as a public entity. The TAC does not allege how Avalon could be independently liable; its liability is based on the alleged agency relationship.

3rd Cause of Action for Breach of Mandatory Duty: Similarly, this cause of action relies on Govt. Code § 818.4 for the mandatory duty, but this statute is really a public entity immunity for an injury caused by issuance, denial, suspension, or revocation of a permit, license, certificate, approval, order or similar authorization; it does not provide for a mandatory duty.